

OCR

Oxford Cambridge and RSA Examinations

GCSE

Economics

J205/02: National and international economics

General Certificate of Secondary Education

Mark Scheme — Predicted Paper (Moderate)

Total marks: 80

MARKING INSTRUCTIONS

Preparation for marking

- Read and understand the mark scheme and the question paper before marking.
- Mark strictly to the mark scheme; marks awarded must relate directly to the marking criteria.
- If in doubt about applying the mark scheme, consult your Team Leader.
- Where a candidate has crossed out a response and provided a clear alternative, the crossed-out response is not marked. Where no alternative is provided, examiners may give candidates the benefit of the doubt and mark the crossed-out response where legible.

Multiple-choice question responses (Section A)

- Where a candidate provides two responses (even if one is correct) no mark is awarded, as the first response cannot be determined.
- Contradictory responses receive no mark even if one is correct.

Levels of response (Section B extended items)

- Determine the level first: start at the highest level and work down until you reach the level that matches the answer.
- Determine the mark within the level using the best-fit approach: top of level = consistently meets the criteria; bottom of level = on the borderline of this level and the one below.
- For questions marked with an asterisk (*) Quality of Extended Response is assessed: credit is given for coherent, well-structured and logically sequenced reasoning.

Annotations

- ✓ Tick — point worthy of credit
- ✗ Cross — incorrect / not creditworthy
- BOD** Benefit of the doubt
- IR** Irrelevant
- L1 / L2 / L3** Level one / two / three
- TV** Too vague
- NAQ** Not answered question
- SEEN** Noted but no credit given
- OFR** Own figure rule applied
- BP** Blank page

Subject-specific level descriptors

The following descriptors are applied to all level-marked questions in Section B in the Question | Answer | Mark | Guidance tables that follow.

Level descriptor	Knowledge & understanding	Application	Analysis	Evaluation
Good	Good knowledge and understanding of the theory. All terms/concepts are explicitly or implicitly understood.	Good application to the scenario. Terms/concepts are used/adapted in the context. Good understanding of all the relevant elements.	Good analysis through developed links and a clear chain of reasoning that addresses the question. Any diagrams are predominantly correct and linked to the analysis.	Good evaluation with a fully supported judgement developed from weighing up arguments / both sides / comparing alternatives.
Reasonable	Reasonable knowledge and understanding. Most terms/concepts are understood.	Reasonable application. Terms/concepts are used/adapted in the context with some understanding of relevant elements.	Reasonable analysis, largely in the form of single effects that address the question but are not developed into a clear chain of reasoning.	Reasonable evaluation considering arguments / both sides / alternatives. A judgement may be made but not fully supported.
Limited	Limited knowledge and understanding. Some terms/concepts are understood.	Limited application. An attempt to use/adapt terms/concepts in the context.	Limited analysis with an attempt at a single effect that has some link to the question.	Limited evaluation with an incomplete consideration of arguments / alternatives and unsupported statements.

SECTION A

Question	Key	AO	Quantitative skills
1	B	AO1a	
2	B	AO1a	
3	C	AO1b	
4	B	AO1b	
5	B	AO2	Yes
6	B	AO1a	
7	B	AO1b	
8	B	AO2	Yes
9	B	AO1b	
10	D	AO1a	
11	C	AO1b	
12	B	AO1b	
13	A	AO2	Yes
14	B	AO1a	
15	C	AO1b	
16	A	AO1b	
17	C	AO1b	
18	B	AO2	Yes
19	C	AO1b	
20	C	AO2	

SECTION B

Question	Answer	Mark	Guidance
21 (a)	Using Extract 1, explain the trend in the UK CPI inflation rate between 2021 and 2023. Answers may include: Inflation rose sharply from 2021 to 2022 [1] and then began to fall in 2023 towards the 2% target [1] Other valid points: • CPI inflation rose from 2.6% in 2021 to a peak of 9.1% in 2022 • inflation remained well above the 2% target in 2023 (7.3%) • inflation was driven largely by rising energy and food prices	2 AO2	1 mark for identifying the overall trend (inflation rose then fell / was high). 1 further mark for explaining with reference to the data (use of specific figures from the extract). Max 2 marks.

Question	Answer	Mark	Guidance
21 (b)	Using Extract 1, calculate the change in Bank Rate between the end of 2021 and the end of 2023. Show your working. Working: Bank Rate at end 2021 = 0.25% Bank Rate at end 2023 = 5.25% Change = $5.25 - 0.25 = +5.00$ percentage points Answer: +5 percentage points (accept +5.00 or a rise of 5 percentage points).	2 AO2	2 marks for a correct answer (working not required). 1 mark for correct working but incorrect final value. 1 mark only if the direction / sign is omitted or if the answer is given as a ratio rather than a change. Accept 'rose by 5 percentage points'.

Question	Answer	Mark	Guidance
21 (c)	Using the information in Extract 1, analyse how rising interest rates between 2021 and 2023 might have affected UK consumer spending. Knowledge and understanding: • interest rates are a tool of monetary policy set by the Bank of England • higher interest rates raise the cost of borrowing and the return on saving • consumer spending is a major component of aggregate demand (C in $AD = C + I + G + X - M$) Reference to the extract: • Bank Rate rose from 0.1% to 5.25% between December 2021 and August 2023 • real wages were weak over this period • households on low incomes were most affected by inflation Development of reasoning: • higher mortgage and loan interest rates raise monthly repayments → lower disposable income → lower consumer spending on other goods and services • higher return on saving encourages households to save rather than spend • confidence effects: anticipation of further rises	6 AO1a 1 AO2 2 AO3a 3	<i>All level descriptors describe the TOP of the level — use the best-fit approach.</i> Level 3 (5–6 marks). Reasonable knowledge and understanding; all terms/concepts are explicitly or implicitly understood. Reasonable application to the scenario, with some understanding of the relevant elements. Good analysis: developed links through a chain of reasoning that addresses the question. Any relevant diagrams are predominantly correct and linked to the analysis. To reach Level 3 there must be reference to the data or context in the extract.

Question	Answer	Mark	Guidance
	discourages large purchases (cars, housing) • mortgaged households are most affected; cash-rich savers may actually gain >> so aggregate consumer spending in the UK is likely to fall.		Level 2 (3–4 marks). Reasonable knowledge and understanding; most terms/concepts are understood. Limited application; an attempt to use/adapt terms/concepts in the context. Reasonable analysis, largely in the form of single effects that address the question but are not developed into a clear chain of reasoning. Level 1 (1–2 marks). Reasonable knowledge and understanding of some terms/concepts. No application of knowledge to the context. Limited analysis, with an attempt at a single effect that has some link to the question. 0 marks — no work worthy of credit. N.B. To reach Level 3 there must be reference to the data or context in Extract 1. If there is no analysis (AO3a), application (AO2) cannot be rewarded.

Question	Answer	Mark	Guidance
21 (d) (i)	Explain what is meant by the term ‘real wages’. Answers may include: The purchasing power of wages [1] after adjusting for the rate of inflation [1]. Accept: • wages measured in constant prices • the quantity of goods and services wages can buy • nominal wages adjusted for inflation	2 AO1b	1 mark for partial definition (e.g. ‘wages after inflation’). 2 marks for a correctly expressed definition that explicitly refers to adjusting for inflation / purchasing power. Max 2 marks.

Question	Answer	Mark	Guidance
21 (d) (ii)	Other than inflation, state two economic objectives of the UK government. 1. Economic growth (rising real GDP) 2. Low unemployment / full employment 3. A favourable balance of payments on current account 4. A fair distribution of income / reduced income inequality 5. Protection of the environment / sustainable	2 AO1a	1 mark for each correct objective, maximum of 2 marks. Accept equivalent terminology (e.g. ‘jobs’ for employment).

Question	Answer	Mark	Guidance
	development		

Question	Answer	Mark	Guidance
21 (d) (iii)*	Evaluate the consequences for low-income households of a period of high inflation. Use the information given in Extract 1 and your own knowledge. Reference to Extract 1 or context (AO2): • CPI inflation peaked at 11.1% in October 2022 • Bank Rate rose from 0.1% to 5.25% • low-income households face a higher effective inflation rate because essentials (energy, food, rent) are a larger share of their spending • real wages were weak over the period Costs for low-income households: • sharp fall in real purchasing power of wages and benefits • fall in living standards: rising food-bank use during 2022–2023 • inability to absorb price rises by drawing on savings • low-income households are more likely to be renters, facing rising rents • if in debt (e.g. credit cards), rising interest rates make this worse Possible benefits / offsetting factors: • government cost-of-living payments and targeted support • energy price guarantee / price caps on essential services • if wages rise with inflation (especially the National Living Wage), real wages recover • fixed-rate debt is eroded in real terms Final judgement may consider: • the severity and duration of inflation — short episode vs prolonged high inflation • the distributional design of support • whether inflation is demand-pull or cost-push • the effect on inequality overall	6 AO2 1 AO3a 2 AO3b 3	<i>All level descriptors describe the TOP of the level — use the best-fit approach. Quality of extended response is assessed: a coherent and logically structured line of reasoning is required for the top of Level 3.</i> Level 3 (5–6 marks). Good application of knowledge to the scenario, with good understanding of all the relevant elements. Reasonable analysis in the form of single effects that address the question. Good evaluation with a fully supported judgement developed from weighing up arguments / both sides / alternatives. A well-developed and logically structured line of reasoning; information is entirely relevant and substantiated. To reach Level 3 there must be application, analysis and evaluation. Level 2 (3–4 marks). Good application of knowledge. Limited analysis in the form of a single effect. Reasonable evaluation considering arguments / both sides / alternatives. A judgement may be made but will not be fully supported. Line of reasoning presented with some structure. Level 1 (1–2 marks). No application of knowledge to the context. Limited analysis with a single effect that has some link to the question. Limited evaluation with incomplete consideration of

Question	Answer	Mark	Guidance
			arguments / alternatives and unsupported statements. Information may be ambiguous or unstructured. 0 marks — no work worthy of credit. N.B. To reach Level 3 there must be application (AO2), analysis (AO3a) and evaluation (AO3b).

Question	Answer	Mark	Guidance
22 (a)	Using Extract 2, explain how the UK unemployment rate compares with the unemployment rate in the North East of England in 2024. Answers may include: The North East rate is higher than the UK rate [1] By 1.5 percentage points (5.8 – 4.3) [1]	2 AO2	1 mark for stating the correct direction (North East higher than UK). 1 mark for supporting with the data (difference or both figures). Max 2 marks.

Question	Answer	Mark	Guidance
22 (b)	Using Extract 2, calculate the difference between the employment rate in the South East and the employment rate in the North East in 2024. Show your working. Working: South East employment rate = 78.5% North East employment rate = 70.3% Difference = 78.5 – 70.3 = 8.2 percentage points Answer: 8.2 percentage points (accept 8.2%).	2 AO2	2 marks for a correct answer (working not required). 1 mark for correct working with an incorrect final value. Accept 8.2% with or without 'percentage points'.

Question	Answer	Mark	Guidance
22 (c)	Using the information in Extract 2, analyse how a fall in the UK unemployment rate might affect the UK government's budget. Knowledge and understanding: - the government budget is the difference between government spending and tax revenue - unemployed workers may be entitled to Universal Credit / Jobseeker's Allowance - employed workers pay income tax and National Insurance Reference to the extract: - UK unemployment rate is 4.3% in 2024 (compared with 5.8% in the North East) - regional differences in unemployment are large - an improving headline rate reduces dependency on welfare Development of reasoning: - fewer unemployed → lower spending on unemployment-related welfare benefits - more workers in employment → higher income-tax and NI revenue - higher disposable income → more consumer spending → higher VAT receipts - lower demand for means-tested benefits (e.g. housing benefit) as incomes rise >> net effect: smaller budget deficit (or larger budget surplus).	6 AO1a 1 AO2 2 AO3a 3	<i>All level descriptors describe the TOP of the level — use the best-fit approach.</i> Level 3 (5–6 marks). Reasonable knowledge and understanding; all terms/concepts are explicitly or implicitly understood. Reasonable application to the scenario, with some understanding of the relevant elements. Good analysis: developed links through a chain of reasoning that addresses the question. Any relevant diagrams are predominantly correct and linked to the analysis. To reach Level 3 there must be reference to the data or context in the extract. Level 2 (3–4 marks). Reasonable knowledge and understanding; most terms/concepts are understood. Limited application; an attempt to use/adapt terms/concepts in the context. Reasonable analysis, largely in the form of single effects

Question	Answer	Mark	Guidance
			that address the question but are not developed into a clear chain of reasoning. Level 1 (1–2 marks). Reasonable knowledge and understanding of some terms/concepts. No application of knowledge to the context. Limited analysis, with an attempt at a single effect that has some link to the question. 0 marks — no work worthy of credit.

Question	Answer	Mark	Guidance
22 (d) (i)	Explain what is meant by ‘structural unemployment’. Unemployment caused by a mismatch between the skills of unemployed workers and those required by available jobs [1], often as a result of long-term decline of an industry or region [1]. Examples of development: • decline of manufacturing in an industrial area • workers who cannot afford to relocate to regions with more job opportunities • lack of re-training after a sector closes	2 AO1b	1 mark for the idea of a skills / sectoral mismatch. 1 mark for reference to long-term / declining industry / occupational or geographic immobility. Max 2 marks.

Question	Answer	Mark	Guidance
22 (d) (ii)	State two types of unemployment other than structural unemployment. 1. Frictional unemployment 2. Cyclical (demand-deficient) unemployment 3. Seasonal unemployment 4. Classical / real-wage unemployment 5. Technological unemployment 6. Voluntary unemployment	2 AO1a	1 mark for each correct type, maximum of 2 marks. Accept equivalent terminology; if knowledge is evident, award the mark.

Question	Answer	Mark	Guidance
22 (d) (iii)*	Evaluate the consequences of persistently high unemployment for workers in a region such as the North East of England. Use the information given in Extract 2 and your own knowledge. Reference to Extract 2 or context: • North East unemployment rate 5.8% > UK 4.3% • North East inactivity rate 25.6% > UK 21.5% • employment rate materially lower than South East (70.3% vs 78.5%) Consequences for workers: • falling or stagnant wages due to excess labour supply • skills atrophy during long-term unemployment →	6 AO2 1 AO3a 2 AO3b 3	<i>Best-fit approach. Quality of extended response is assessed.</i> Level 3 (5–6 marks). Good application of knowledge to the scenario, with good understanding of all the relevant elements. Reasonable analysis in the form of single effects that address the question. Good

Question	Answer	Mark	Guidance
	harder to return to work • loss of income → reduced living standards, risk of poverty • reduced mental health / wellbeing • risk of becoming economically inactive / discouraged worker Possible offsetting factors: • government supply-side support (training, apprenticeships, Levelling Up Fund) • lower cost of living in less prosperous regions • opportunities in growing service sectors (e.g. green industries, digital) • remote working increases access to jobs across regions Final judgement may consider: • duration of unemployment (short vs long term) • whether the unemployment is structural or cyclical • the effectiveness of government intervention • distribution of benefits/costs across different groups of workers		evaluation with a fully supported judgement developed from weighing up arguments / both sides / alternatives. A well-developed and logically structured line of reasoning; information is entirely relevant and substantiated. To reach Level 3 there must be application, analysis and evaluation. Level 2 (3–4 marks). Good application of knowledge. Limited analysis in the form of a single effect. Reasonable evaluation considering arguments / both sides / alternatives. A judgement may be made but will not be fully supported. Line of reasoning presented with some structure. Level 1 (1–2 marks). No application of knowledge to the context. Limited analysis with a single effect that has some link to the question. Limited evaluation with incomplete consideration of arguments / alternatives and unsupported statements. Information may be ambiguous or unstructured. 0 marks — no work worthy of credit.

Question	Answer	Mark	Guidance
23 (a)	Using Extract 3, explain the change in the UK's current account balance between 2021 and 2024. Answers may include: The deficit widened between 2021 and 2022 [1] then narrowed between 2022 and 2024 [1] Other valid points: - deficit was –1.5% of GDP in 2021, widened to –3.1% in 2022 - deficit narrowed to –2.0% of GDP by 2024 - the UK maintained a current-account deficit throughout the period	2 AO2	1 mark for identifying the direction of change(s). 1 mark for supporting with data from the extract.

Question	Answer	Mark	Guidance
23 (b)	A UK firm plans to import machinery from Germany costing €420,000. Using the 2024 exchange rate in Extract 3, calculate the cost of the machinery in pounds sterling. Show your working. Working: 2024 exchange rate: £1 = €1.17 Cost in £ = €420,000 ÷ 1.17 = £358,974.36 Answer: £358,974 (accept £358,974.36, or answers rounded between £358,970 and £358,980).	2 AO2	2 marks for a correct answer (working not required). 1 mark for correct method but incorrect final value. 1 mark only if the £ sign is omitted.

Question	Answer	Mark	Guidance
23 (c)	Using the information in Extract 3, analyse how a depreciation of sterling against the euro might affect UK firms that export to the EU. Knowledge and understanding: - depreciation = fall in the external value of a currency - exports priced in sterling become cheaper in foreign currency - export revenue = price × quantity sold Reference to the extract: - the UK runs a current-account deficit, partly because of the goods trade balance - exchange rate £1 = €1.15 in 2023 (down from £1 = €1.17 in 2021) - UK services surplus partly offsets the goods deficit Development of reasoning: - cheaper UK exports in euros → rise in quantity of UK exports demanded by EU customers - rise in export volumes → rise in revenue for UK exporters and improved production utilisation - higher export revenue → higher profits and potentially higher employment in UK export industries - counterpoint: imported inputs priced in euros become more expensive → higher production costs → squeezed margins >> net effect depends on the elasticities of demand and the import content of exports.	6 AO1a 1 AO2 2 AO3a 3	<i>Best-fit approach.</i> Level 3 (5–6 marks). Reasonable knowledge and understanding; all terms/concepts are explicitly or implicitly understood. Reasonable application to the scenario, with some understanding of the relevant elements. Good analysis: developed links through a chain of reasoning that addresses the question. Any relevant diagrams are predominantly correct and linked to the analysis. To reach Level 3 there must be reference to the data or context in the extract. Level 2 (3–4 marks). Reasonable knowledge and understanding; most terms/concepts are understood. Limited application; an attempt to use/adapt

Question	Answer	Mark	Guidance
			terms/concepts in the context. Reasonable analysis, largely in the form of single effects that address the question but are not developed into a clear chain of reasoning. Level 1 (1–2 marks). Reasonable knowledge and understanding of some terms/concepts. No application of knowledge to the context. Limited analysis, with an attempt at a single effect that has some link to the question. 0 marks — no work worthy of credit.

Question	Answer	Mark	Guidance
23 (d) (i)	Explain what is meant by the ‘balance of payments on current account’. A record of all financial transactions between a country and the rest of the world over a given period of time [1] that relate to trade in goods and services, primary income (e.g. investment income) and secondary income (e.g. transfers) [1]. Accept: • exports minus imports of goods and services plus net income and transfers • the main account recording trade and investment income between a country and the world	2 AO1b	1 mark for a partial definition (trade between a country and the rest of the world). 2 marks for a full definition that includes goods, services, and income or transfers.

Question	Answer	Mark	Guidance
23 (d) (ii)	Other than the balance of payments on current account, state two benefits to a country of international trade. 1. Greater variety / choice of goods and services for consumers 2. Lower prices due to competition / comparative advantage / economies of scale 3. Transfer of technology and expertise 4. Wider markets for domestic producers 5. Improved productivity through specialisation	2 AO1a	1 mark for each valid benefit, up to 2 marks. Accept equivalent points; do not credit points that refer only to the current account.

Question	Answer	Mark	Guidance
23 (d) (iii)*	Evaluate the extent to which a sustained depreciation of sterling would be beneficial for the UK economy. Use the information given in Extract 3 and your own knowledge. Reference to Extract 3 or context: • the UK runs a persistent current-account deficit	6 AO2 1 AO3a 2 AO3b 3	<i>Best-fit approach. Quality of extended response is assessed.</i> Level 3 (5–6 marks). Good application of knowledge to the scenario, with good

Question	Answer	Mark	Guidance
	- UK services surplus is larger than goods deficit partially compensates - UK is a highly open economy Benefits of a depreciation: - UK exports become more competitive in foreign markets → rising export revenue - UK producers may gain market share abroad and at home - current account could improve in the long run if Marshall–Lerner is satisfied Costs of a depreciation: - imports become more expensive → imported inflation (especially energy and food) - higher cost of imported inputs → higher UK production costs - lower real incomes for consumers of imported goods and services - in the short run, current account may worsen (J-curve effect) before it improves Final judgement may consider: - size and duration of the depreciation (small and temporary vs large and permanent) - demand elasticity for UK exports and imports - the importance of services trade, which is less price-sensitive - trade-offs between consumer prices and producer competitiveness		understanding of all the relevant elements. Reasonable analysis in the form of single effects that address the question. Good evaluation with a fully supported judgement developed from weighing up arguments / both sides / alternatives. A well-developed and logically structured line of reasoning; information is entirely relevant and substantiated. To reach Level 3 there must be application, analysis and evaluation. Level 2 (3–4 marks). Good application of knowledge. Limited analysis in the form of a single effect. Reasonable evaluation considering arguments / both sides / alternatives. A judgement may be made but will not be fully supported. Line of reasoning presented with some structure. Level 1 (1–2 marks). No application of knowledge to the context. Limited analysis with a single effect that has some link to the question. Limited evaluation with incomplete consideration of arguments / alternatives and unsupported statements. Information may be ambiguous or unstructured. 0 marks — no work worthy of credit.

ASSESSMENT OBJECTIVE GRID (AO)

	AO1a	AO1b	AO2	AO3a	AO3b	Total	Quantitative skills
Section A (MCQs 1–20)	5	10	5			20	4
Question 21 (total)	3	2	7	5	3	20	4
Question 22 (total)	3	2	7	5	3	20	4
Question 23 (total)	3	2	7	5	3	20	4
Section B total	9	6	21	15	9	60	12
Paper total	14	16	26	15	9	80	16

END OF MARK SCHEME